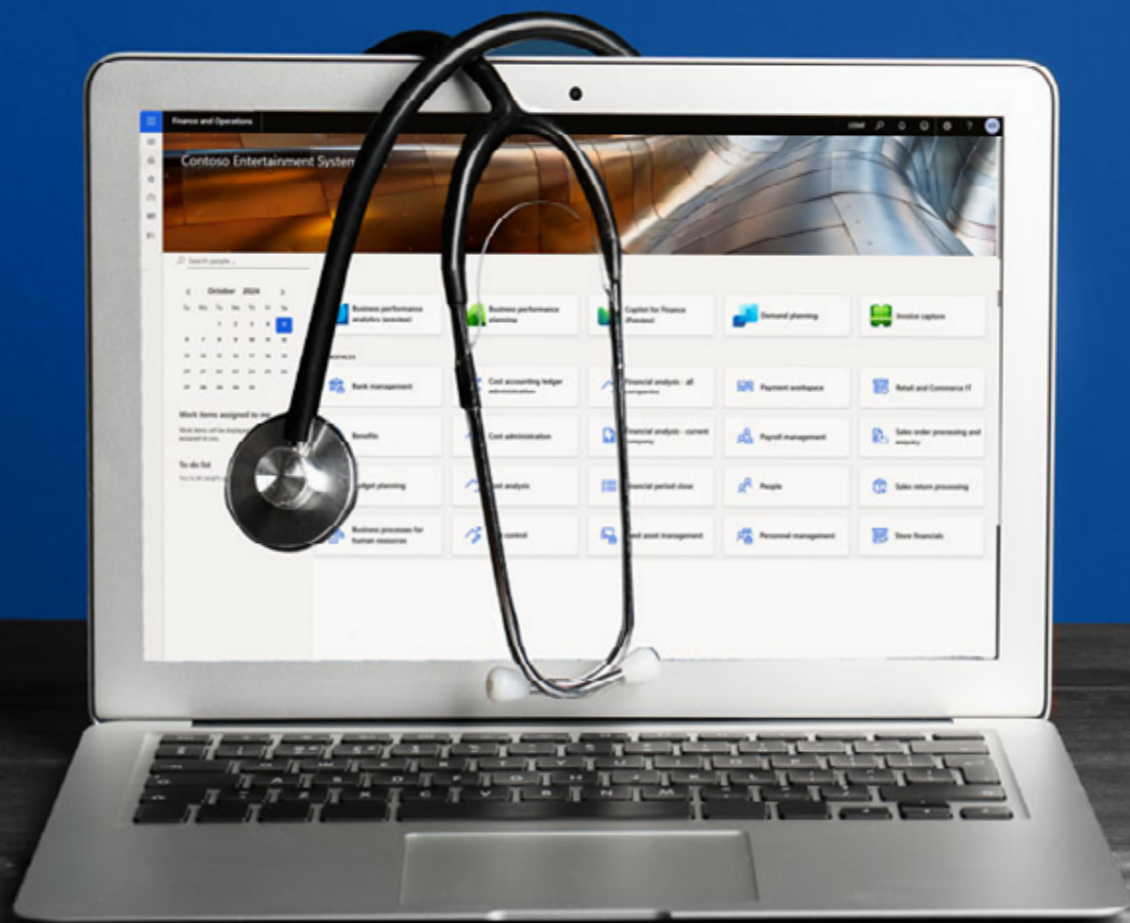


D365 F&O FUNCTIONAL HEALTH CHECK

10 common implementation functional issues &
how to identify them



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Introduction

Audience

This guide is specifically designed for key ERP stakeholders of organisations that are implementing, or have implemented, Dynamics 365 for Finance & Operations (including Finance, Supply Chain Management, Commerce, and Human Resources).

Our purpose

We carefully crafted this booklet to give you:

- On-point definitions of common functional key areas in a D365 F&O project;
- A description of worst-case scenarios when each area is neglected;
- Clear symptoms that appear when things are not done properly.

Hopefully, this will enable you to recognise problems in advance and act before they get out of control.

Disclaimer

The choice of having ten issues is arbitrary – the list is not exhaustive. We selected the most common ones in our opinion, providing for each a solid description from real cases and three symptoms from first-hand experience.

Naturally, there is a lot more to say – we could write a whole book about this topic and each functional issue would span an entire chapter! But this would defeat the purpose of the guide... so, to keep it manageable, we made every section short and on point. To increase clarity, we also ordered the functional areas to roughly follow the implementation sequence.

We hope that you will find this guide insightful. If you have any comments or questions, do reach out to us. We're eager to hear your feedback.

01

Business process mapping

What is it?

Business process mapping is the analysis and documentation of an organisation's current and desired procedures, workflows, and operational practices. They are represented via flow diagrams to show all actions in a clear sequence, highlighting decision points and branches.

Why does it matter?

Business process mapping is the cornerstone of a successful D365 F&O implementation. It provides an unambiguous picture of your existing operations and a clear definition of its future status. It brings alignment to key stakeholders and lets you design and configure the new ERP so it supports actual business use cases, rather than scenarios based on assumptions.

When done poorly...

This exercise is often rushed or skipped altogether, often dismissed as a quirk of the IT department. Some organisations are so eager to see the ERP in action that they neglect their own preparation or assume that the system integrator will decide for them (sounds ridiculous, yet it keeps happening).

Without a clear understanding of current and desired processes, you risk rework down the line or, in the worst cases, building a software solution that is unfit for purpose or unnecessary convoluted.

Red flags to watch for

Business process mapping risks becoming a critical functional area if:



There is no clear difference between current (AS-IS) and desired (TO-BE) business processes, and any mapping is distant from standard functionalities of D365 F&O



Key use cases are discovered in later stages of the implementation, forcing redesign



Requests for customisations are based on existing features of the legacy application rather than use cases at process level

02

Requirements gathering

What is it?

Requirements gathering is the systematic process of collecting, documenting, and managing the needs and expectations of your key stakeholders regarding your new ERP solution. It involves identifying requirements for all processes areas and correctly assessing their priority.

Why does it matter?

This process is crucial because it drives the blueprint of your entire D365 F&O solution. Any system configuration or customisations makes sense only if there is a requirement to justify it, otherwise it's just guesswork or unaligned efforts.

Clear requirements help to prioritise features, estimate costs, and set realistic project timelines. They also become a reference point throughout the project to manage expectations and protect against scope changes.

When done poorly...

Inadequate requirements gathering always leads to an ERP that is missing critical features or fails to meet user needs. The consequences are extensive rework, project delays, and budget overruns.

Your stakeholders are guaranteed to change their mind about their desires as the system takes shape, but if requirements are not clearly documented and signed-off beforehand (and no robust change request management process is in place), then the scope will inevitably grow out of control. Eventually, it can become impossible to reach an end point and deliver a complete solution.

Red flags to watch for

Requirements gathering risks becoming a critical functional area if:



The requirements gathering phase fails to deliver clear, measurable, structured, and signed-off documentation



All requirements are considered essential, so stakeholders are unable or unwilling to deprioritise or descope any of them



Different key stakeholders maintain conflicting views on the same requirements, suggesting a lack of alignment

03

Solution design

What is it?

Solution design is the process of creating a detailed blueprint of how D365 F&O will be configured, customised, and integrated to meet your organisation's specific requirements. It involves mapping out the system architecture, defining data structures, and planning for integrations with other systems.

Why does it matter?

A well-crafted solution design ensures that you build a D365 F&O solution that is aligned with your business objectives. It serves as a roadmap for the implementation team, guiding decisions as the project progresses through its various stages (and the unexpected appears).

A robust design also helps you to identify potential blockers and issues early, reducing the risk of a redesign in a later stage of the implementation, when the cost is higher.

When done poorly...

Having a weak or incomplete solution blueprint, or missing one at all, is akin to building a skyscraper without architectural drawings. As a result, the implementation team will have to work on assumptions, and each functional stream will be delivered in isolation, lacking cohesion.

You might end up with a patchwork of poorly integrated components that fail to deliver the expected benefits. This can go as far as crippling your business operations. The result is an increased risk of requiring extensive rework after go-live, or even a complete system re-implementation.

Red flags to watch for

Solution design risks becoming a critical functional area if:



The solution architecture does not encompass all process areas or it defines integration points vaguely, and is not understood clearly by all key stakeholders



The solution blueprint is a convoluted design that relies on complex customisations, with the justification that they are unavoidable and standard features are unsuitable



There is no clear owner of the solution who can explain and motivate the choices made

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04 Customisations

What is it?

Customisations in D365 F&O involve modifying or extending the standard system functionality to meet specific business requirements that are not covered by out-of-the-box features. They range from simple user interface changes to complex alterations of core system logic.

Why does it matter?

It is virtually impossible for a standard ERP application to fully match your organisation's needs and requirements. This makes customisations unavoidable and a part of almost any D365 F&O implementation project.

However, their extent directly affects the entire project scope, complexity, and outcome. Any decisions to customise will have a long-lasting impact on the system, well past the project go-live. Complexity compounds: the more you customise, the easier it becomes to justify further customisations.

When done poorly...

Customisations become a drag when they are excessive in number and scope, overly complicated, unjustified, poorly designed, or poorly implemented. They can have a massive impact on business operations, ranging from bugs in the production environment to performance issues.

Poor customisations also make it difficult to support and upgrade the ERP system. This translates to a higher total cost of ownership for your D365 F&O solution, which is often not measurable directly.

Red flags to watch for

Customisations risks becoming a critical functional area if:



There is a high number of customisation requests that are based on features of the legacy systems (lift-and-shift)



Customising becomes the default choice, without first exploring configuration options, third-party apps, business process changes, or manual workarounds



There is no clear governance process to approve and manage the scope and extent of customisation requests, with some even affecting core processes of D365 F&O

05 Integrations

What is it?

Integrations is about connecting D365 F&O with other software applications and data sources in your IT ecosystem. This enables seamless data flow and communication between various internal and external systems, supporting the execution of end-to-end business processes.

Why does it matter?

Integrations are necessary because not all required data can or will be stored and processed in D365 F&O. A well-integrated ERP eliminates data silos, reduce manual data entry, and ensure consistency across other applications in your IT landscape.

Seamless integration improves operational efficiency and data accuracy for decision-making. Since integrations come in all forms and shapes, it's essential to choose the right one for each scenario.

When done poorly...

Similarly to customisations, bad integrations may require a redesigned from scratch, especially if they completely miss certain use cases. Poorly built integrations result in data inconsistencies, processing delays, and a strain on system resources (with the associated cloud costs).

The consequences may be as severe as application failures caused by dirty data. Even without such a drastic outcome, the effects are again akin to poor customisations: an unsuitable system that reduces user adoption and incentivises manual workarounds, which then reduces efficiency in business operations.

Red flags to watch for

Integrations risks becoming a critical functional area if:



Information flows are neglected and specified as vague links between applications, without clarifying key integration elements like data, volume, frequency, and triggers



Data exchanges are not based on defined use cases from business processes, so their nature changes and scope increases as the system is built



There is an over-reliance on convoluted, custom-built integrations rather than leveraging standard D365 F&O import and export features

06

Data migration

What is it?

Data migration is the process of transferring data from your legacy system(s) to the new D365 F&O solution. It involves extracting data from existing sources, transforming it to fit the new system's database, and uploading it into D365 F&O. Steps typically includes data cleansing, mapping, and validation to ensure accuracy and completeness.

Why does it matter?

Data migration is crucial because it directly impacts the usability and effectiveness of your new D365 F&O system. Accurate and complete data is essential not just for business continuity after go-live, i.e. daily operations and reporting for decision making, but also for thorough testing during the implementation.

Consequently, multiple rounds of data migration are often required. Their complexity is affected by the amount of data to transfer, the nature of legacy systems (data transformation), and the extent of any customisations (additional data entities).

When done poorly...

Poor data migration can render your new system unusable from day one. In the worst cases, posted transactions cause issues which cannot be retroactively fixed and need to be dealt with via workarounds.

Inaccurate or incomplete data cause operational disruptions, financial discrepancies, and even loss of critical business information. This decreases the trust of end users in the new system, reducing adoption rates and incentivising out-of-system workarounds, such as Excel files used as external databases.

Red flags to watch for

Data migration risks becoming a critical functional area if:



It is not treated as a priority until the system building phase, with some functionalities tested on sample or made-up records



Users complain about being unable to test features due to incomplete or invalid data, signs of a poor migration strategy or insufficient data cleansing and transformation



There is no separate repository for validated master data, with inconsistencies spotted between the environments (e.g. SIT and UAT)

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07 Testing

What is it?

Testing in a D365 F&O implementation is the systematic process of evaluating the system's functionality, performance, and reliability, in order to identify and fix any issues before the system goes live. It encompasses various types of tests, such as unit, functional, end-to-end, and user acceptance (UAT).

Why does it matter?

Testing is crucial to ensure that every part of the software solution (whether standard or customised) is stable and working according to specifications, to avoid unexpected behaviour when the system is used by the wider audience.

Thorough testing helps to identify early any bugs, performance issues, and usability problems, reducing the risk of costly fixes in later stages of the implementation. It also builds user confidence in the new system, facilitating smoother adoption and transition from the legacy system.

When done poorly...

Inadequate or insufficient testing increases the risk of delivering a solution that is unstable or unfit for purpose. The cost of fixing bugs or redesigning features is higher in the later stages of the implementation project, so failing to any issues early translates to bigger and more disrupting problems later.

In severe cases, untested problematic software features can wreak havoc in the production environment, requiring a deployment rollback or taxing workarounds before bugfixes are developed. The result is always significant disruption to business operations.

Red flags to watch for

Testing risks becoming a critical functional area if:



There is no rigorous and comprehensive testing strategy that covers all streams, plus customisations and integrations, in multiple rounds



Test scenarios are undefined or too vague, not representative of real use cases and focused solely on technical functionalities rather than end-to-end business processes



End users are not involved in the testing process from early stages (i.e. before UAT), and testing is delegated to the system integrator until the system is fully built

08

User adoption

What is it?

User adoption is the ongoing process of ensuring that end users effectively accept, learn, and utilise D365 F&O proficiently in their daily jobs. This is done via change management, effective communication, comprehensive training, and ongoing support to help them transition from the legacy system to the new one.

Why does it matter?

Successful user adoption is critical for realising the full benefits of your D365 F&O investment. Even the most perfect system will fail to deliver any value if people don't use it properly, whether this is because they are unable or unwilling to do so.

Strong user adoption leads to improved productivity, reduced errors, and higher effectiveness in executing daily tasks. Satisfied users are less likely to resist change, require less IT support, and will actively explore the system's capabilities to make their own life easier.

When done poorly...

Poor user adoption occurs when users feel that their concerns and requests are not listened to, users think that the new system complicates their life, training is insufficient or ineffective, or the impact of upcoming changes is not communicated thoroughly.

Dissatisfied users will see the new ERP system as an imposition and will not trust it. They will develop resistance to change, whether active (objections) or passive (no cooperation). They may try to find creative workarounds to bypass the new system and preserve the status quo.

Red flags to watch for

User adoption risks becoming a critical functional area if:



The change management strategy is weak or absent, with stakeholders reporting unawareness of upcoming changes or frustrations for not being listened to



Training is an afterthought and pushed as close as possible to go-live, with superficial and generic sessions that don't cover all processes and roles



Decisions are taken in a top-down approach, without communicating the rationale behind them to end users and without listening to their input and feedback

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09

Security configuration

What is it?

Security configuration in D365 F&O is the process of setting up and managing users access to the system, by identifying what functions and data users require to execute their jobs (as well as those they must not have access to) and configuring security roles accordingly.

Why does it matter?

Tailored security roles help maintain the integrity of your data, by limiting who has access to what in D365 F&O. One layer above, when roles are configured in concert with each other, policies such as segregation of duties can be implemented and enforced.

Finally, the access granted to users is directly correlated to licensing costs in D365 F&O, therefore there is a monetary incentive to avoid loose security roles.

When done poorly...

When security roles are not configured correctly, users may be unable to complete their tasks (tight access) or be able to access and modify sensitive data (loose access).

Overly complex security roles result in more time required maintain them, which increases with any subsequent system access change requests. Inability to explain why and how the system access is configured can also cause audit failures.

Last but surely not least, loose security roles increase the licensing bill, which can skyrocket to several times higher than really necessary.

Red flags to watch for

Security configuration risks becoming a critical functional area if:

-  There is no comprehensive security strategy based on the organisational structure (business roles) and no early involvement of users to test system access
-  There is a disproportionate number of security roles with respect to system users, who have many roles assigned to them, often with overlapping access
-  Segregation of duties and auditing are afterthoughts, and after the go-live the ownership of the security configuration model is left to the IT support team

10 Reporting

What is it?

Reporting in D365 F&O refers to the process of extracting, analysing, and presenting system data in a format useful to make informed decisions. It ranges from simple reporting like dashboards and workspaces within D65 F&O to external data lakes with complex analytics.

Why does it matter?

ERPs are not designed to be user-friendly; they are designed to be robust. Therefore, reporting is necessary to transform operational data into insights. Each organisation has its own requirements, at times radically different between departments, so reporting needs to be tailored and often designed in advance.

Starting with the end in mind, complex reporting needs can have an impact on how the overall solution is designed (especially if customisations are involved), making this an area to be considered in the early stages of the implementation.

When done poorly...

Reporting is often considered a secondary process stream, and as a consequence it is neglected until close or even past the go-live date. This can have disastrous effects, as far as making the entire ERP solution useless to drive any kind of decision making.

Compliance can be affected too, if there is no easy way to retrieve data requested by external regulatory entities. The effect is often manual data extraction, then manipulated outside of the system in fragile and admin-intensive workarounds. This increases the risk of data discrepancy and multiple sources of truth, causing errors and inaccuracies.

Red flags to watch for

Reporting risks becoming a critical functional area if:



The organisation's KPIs and high-level reporting requirements are not considered in the solution design phase



Users extract lots of data from the system and process them with external tools (Excel), and lack familiarity with other D365 F&O standard reporting features



There is heavy reliance on IT or external consultants to create and modify custom reports, slowing down users and limiting their ability to access key information timely

Conclusion

Our experience tells us that implementing D365 F&O is always more complicated than any organisation originally assumes. This can be due to unexpected events, but realistically it's because of lack of preparation, incorrect assumptions, and unawareness of common issues.

There are numerous functional areas that require your careful attention throughout the implementation process. By being aware of them, their potential problems, and the warning signs, you are now better equipped to recognise and deal with any implementation challenges.

Early identification is the key to prevent small issues from snowballing into major problems that can derail your entire project.

NEXT STEPS

Awareness is pointless without action. If you read this guide so far, chances are that in your project you have encountered some of the red flags we described. They are telling symptoms that something is wrong (and will get worse).

The longer these issues are neglected, the more entrenched they become, and the more difficult and expensive they are to fix. Do nothing, and your D365 F&O implementation may become a cautionary tale for others.

The good news? You don't have to face them alone.

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Here is what you can expect from it:

- ✓ **ALIGNMENT TO YOUR GOALS**
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